



Economics 114 Formulae

Economics (Universiteit Stellenbosch)



messages.pdf_cover_qr_code_label

Indicator/Term	Formula	Explanation
GDP	$GDP = C + I + G + (X - M)$	Total economic output: C (Consumer Spending), I (Investment), G (Government Spending), X (Exports), M (Imports).
Unemployment Rate	$Unemployment\ Rate = \frac{\text{Number of Unemployed}}{\text{Labor Force}} \times 100$	Percentage of unemployed people in the labor force.
Money Multiplier Rate	$Money\ Multiplier = 1 / \text{Reserve Ratio}$	Indicates how much money supply can expand per unit of reserves held by banks.
Real GDP	$Real\ GDP = \frac{\text{Nominal GDP}}{\text{GDP Deflator}} \times 100$	Economic output adjusted for inflation/deflation.
CPI	$CPI = \frac{\text{Cost of Basket in Current Year}}{\text{Cost of Basket in Base Year}} \times 100$	The average change in consumer prices over time.
Inflation Rate	$Inflation\ Rate = \frac{(\text{CPI in Current Year} - \text{CPI in Previous Year})}{\text{CPI in Previous Year}} \times 100$	Percentage increase in consumer prices.
Real Interest Rate	$Real\ Interest\ Rate = \text{Nominal Interest Rate} - \text{Inflation Rate}$	Adjusted interest rate considering inflation.
Total Revenue	$Total\ Revenue = \text{Price} \times \text{Quantity}$	Income from selling goods or services.
Marginal	$Marginal\ Revenue =$	Additional revenue from

Revenue	$\text{Change in Total Revenue} / \text{Change in Quantity}$	selling one more unit.
Average Revenue	$\text{Average Revenue} = \text{Total Revenue} / \text{Quantity Sold}$	Average income per unit sold.
Total Cost	$\text{Total Cost} = \text{Fixed Costs} + \text{Variable Costs}$	The sum of fixed and variable production costs.
Marginal Cost	$\text{Marginal Cost} = \text{Change in Total Cost} / \text{Change in Quantity}$	Additional cost of producing one more unit.
Total Average Cost	$\text{Total Average Cost} = \text{Total Cost} / \text{Quantity}$	Average cost per unit of output.
Average Fixed Costs	$\text{Average Fixed Costs} = \text{Fixed Costs} / \text{Quantity}$	Fixed cost per unit of output.
Average Variable Costs	$\text{Average Variable Costs} = \text{Variable Costs} / \text{Quantity}$	Variable cost per unit of output.
Profit	$\text{Profit} = \text{Total Revenue} - \text{Total Cost}$	Financial gain or loss for a firm.